

BULK-RESTRICTED TOTAL VARIATION RÉNYI-DUAL DRO: ROBUST DECISION-MAKING UNDER HEAVY TAILS AND OUT-OF-SAMPLE CONTAMINATION

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Paper under double-blind review

ABSTRACT

Distributionally robust decision-making under heavy-tailed data and out-of-sample (OOS) deployment contamination requires balancing adversarial robustness against in-bulk distributional shifts without incurring infinite risk or computational intractability. Existing approaches suffer from structural deficiencies: divergence-ball DRO exhibits moment-generating-function instability under heavy tails, forward Local Variation (LV) contamination fails to defend against in-bulk density shifts, scenario-maximum operators introduce non-smoothness that hinders first-order optimization, split-sample calibration wastes up to 50% of available data, and pointwise concentration bounds under-cover bulk support at scale. We introduce **Bulk-Restricted Total Variation Rényi-Dual DRO (BTV-RDRO)**. Our method integrates an in-bulk Total Variation (TV) dual risk that unifies a softplus Conditional-Value-at-Risk ($\text{CVaR}_{1-\epsilon}$) term for in-bulk density-shift protection with a smooth Rényi log-sum-exp bounded-supremum envelope for additive spike protection. To prevent risk explosion in over-budget regimes, we incorporate a functional Extreme Value Theory (EVT) Generalized Pareto reach guardrail that clips coordinate-wise support expansion at high-quantile return levels. Finally, we develop a split-free, variance-adaptive uniform offset $\max(\Delta_{\text{DKW}}, \Delta_{\text{EB}})$ that certifies bulk coverage on 100% of the training data across all sample sizes. Across 100 independent replications on both synthetic heavy-tailed newsvendor benchmarks and real-world decision problems (Rossmann multi-store demand and S&P 500 portfolio allocation) under demand spikes and deployment shifts, BTV-RDRO delivers statistically significant OOS risk reductions over forward-LV ($p < 0.001$), Bayesian DRO, f -divergence DRO, outlier-robust Wasserstein DRO, and modern outlier-robust and entropic-OT baselines (DORO, unbalanced-OT DRO, Sinkhorn-DRO), while achieving up to a $49\times$ speedup over exact solvers. The framework is modular in its bulk scorer, admitting Kernel-PCA and deep autoencoder scores for non-elliptical supports without breaking coverage guarantees, a covariance-aware ellipsoidal reach further extends it to correlated simplex losses, and its robustness reduces to a single interpretable budget dial that traces the full risk-robustness frontier.

1 INTRODUCTION

Decision-making in complex environments requires risk-minimization objectives that remain resilient to both heavy-tailed data and out-of-sample (OOS) deployment contamination. Distributionally Robust Optimization (DRO) offers a principled framework by hedging against the worst-case distribution within an ambiguity set centered at a nominal distribution (Gao & Kleywegt, 2016; Kuhn et al., 2019). Yet under heavy-tailed data and unbounded losses, standard divergence-based and optimal-transport ambiguity sets encounter severe trade-offs. f -divergence balls (e.g. Kullback-Leibler or χ^2) suffer extreme log-moment-generating-function (MGF) instability on heavy-tailed losses (Namkoong & Duchi, 2016; Lévy et al., 2020), while Wasserstein metrics can yield infinite worst-case risk under arbitrary outlier spikes (Blanchet et al., 2016; Nietert et al., 2023).

To protect against contamination, classical robust statistics leverages Huber’s ϵ -contamination model (Huber, 1964) and Local Variation (LV) credal sets (Chen et al., 2025). Recent bulk-calibrated credal

sets (Chen et al., 2025) show that restricting adversarial support to a certified high-probability bulk set Ξ_0 yields finite, closed-form mean + sup objectives. Despite this progress, existing divergence-ball, Wasserstein, and forward Huber-contamination formulations exhibit four critical deficiencies:

1. **Single-sided contamination defense.** Forward Huber-contamination and forward-LV defend only against additive spikes via a supremum term, leaving the rule exposed to in-bulk shifts (density reweighting or low-loss mass deletion).
2. **Non-smooth optimization barriers.** The scenario maximum $\sup_{\xi \in \Xi_0} f_x(\xi)$ is non-smooth, forcing convex solvers that scale poorly with scenario count.
3. **Unbounded heavy-tail extrapolation.** As the budget grows, the worst-case supremum extrapolates unconstrained along heavy tails, causing objective explosion and collapse.
4. **Data inefficiency and coverage failure.** Split-sample DKW calibration discards 50% of data, while pointwise Empirical Bernstein bounds (Maurer & Pontil, 2009) under-cover as n grows for lack of uniform concentration (Wang, 2025).

To overcome these limitations we propose **Bulk-Restricted Total Variation Rényi-Dual DRO (BTV-RDRO)**, a unified, fully differentiable framework. As illustrated in Figure 1, BTV-RDRO integrates four technical innovations:

1. **In-bulk TV dual risk.** Via the TV dual, we replace the nominal expectation with a $\text{CVaR}_{1-\epsilon}$ term against in-bulk density shifts, retaining a supremum term against additive spikes.
2. **Differentiable dual envelopes.** Smooth auto-differentiable envelopes—a softplus CVaR envelope $\mathcal{C}_{1-\epsilon, \beta}(f_x)$ and a Rényi log-sum-exp envelope $\mathcal{S}_{\alpha, \mathcal{B}_x}(f_x)$ of the closed-form box support function (Paszke et al., 2019; Stooke et al., 2020)—enable end-to-end Adam optimization without LP/conic complexity.
3. **Functional EVT reach guardrail.** We fit a Generalized Pareto tail to each coordinate’s upper-tail exceedances and cap the coordinate-wise reach at a high-quantile return level, preventing heavy-tail explosion (Laidlaw & Feizi, 2019).
4. **Split-free uniform calibration.** A variance-adaptive offset $\max(\Delta_{\text{DKW}}, \Delta_{\text{EB}})$ certifies bulk thresholds on 100% of training data with non-asymptotic uniform coverage at all sample sizes (Wang, 2025).

Over 100 independent replications on heavy-tailed Student- t inventory tasks under demand spikes and deployment shifts, BTV-RDRO achieves statistically significant Mean-Standard-Deviation (MSD) risk reductions over forward-LV (Chen et al., 2025), Bayesian DRO (Dellaporta et al., 2024), f -divergence DRO (Namkoong & Duchi, 2016), and outlier-robust Wasserstein DRO (Nietert et al., 2023), while remaining an order of magnitude faster than exact solvers.

2 RELATED WORK

2.1 DIVERGENCE-BASED AND WASSERSTEIN DISTRIBUTIONALLY ROBUST OPTIMIZATION

DRO is a cornerstone paradigm for decision-making under uncertainty (Gao & Kleywegt, 2016; Kuhn et al., 2019). Early f -divergence ambiguity sets (Namkoong & Duchi, 2016; Lévy et al., 2020; Hashimoto et al., 2018; Nie & Zhong, 2023) admit convenient duals but, relying on exponential log-MGFs, are extremely sensitive to heavy-tailed noise and localized contamination (Zhai et al., 2021). Optimal-transport and Wasserstein DRO (Esfahani & Kuhn, 2015; Blanchet & Murthy, 2016; Blanchet et al., 2016) offer strong finite-sample guarantees but remain sensitive to extreme spikes. Hybrid frameworks improve outlier resilience: outlier-robust WDRO (Nietert et al., 2023) adds TV bounds; holistic robust optimization (Bennouna et al., 2022) combines KL with Lévy-Prokhorov distances; unbalanced OT (Wang et al., 2024) softens marginals; and Sinkhorn DRO (Wang et al., 2021) adds entropic regularization. Others bound tail indices directly (Birghila et al., 2021) or embed Bayesian posterior predictives (Dellaporta et al., 2024). These typically require large conic/linear programs (Diamond & Boyd, 2016) scaling with scenario count M ; in contrast, BTV-RDRO restricts support to a calibrated bulk set and uses differentiable envelopes, yielding a fast, $O(M)$ -independent first-order problem.

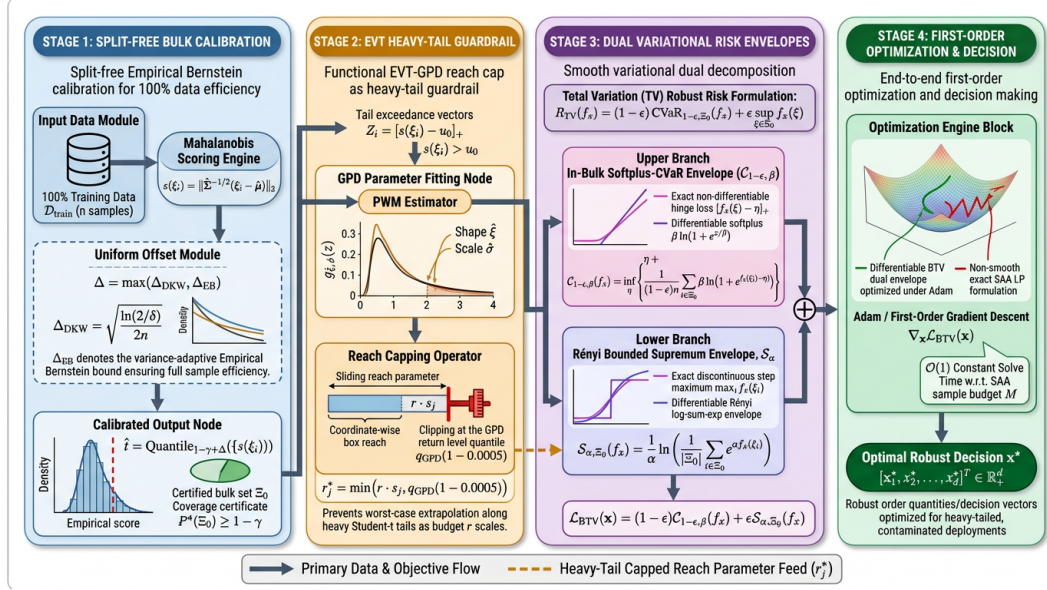


Figure 1: End-to-end architecture of the BTV-RDRO framework. *Stage 1* calibrates a certified bulk set on the full training set via a split-free uniform offset combining DKW and Empirical Bernstein bounds. *Stage 2* fits a Generalized Pareto Distribution to tail exceedances to cap coordinate-wise box reach against heavy-tailed extrapolation. *Stage 3* decomposes the total-variation robust risk into smooth variational dual envelopes (in-bulk softplus-CVaR and Rényi log-sum-exp bounded supremum). *Stage 4* performs first-order gradient descent over the combined differentiable objective to produce the robust decision.

2.2 HUBER CONTAMINATION AND TOTAL VARIATION AMBIGUITY SETS

Robust decision-making under contamination traces to Huber’s ϵ -model (Huber, 1964), which models observations as a mixture $(1 - \epsilon)P_0 + \epsilon R$. In DRO, contamination neighborhoods induce Local Variation (LV) credal sets (Chen et al., 2025; Li et al., 2025). Forward-LV balls guard against additive spikes, yielding a nominal-expectation-plus-supremum objective; reverse-LV balls model mass deletion, equating to $\text{CVaR}_{1-\epsilon}$ minimization (Zhai et al., 2021). A TV ball unifies both, permitting simultaneous mass insertion and deletion. However, on unbounded supports, standard TV-DRO produces infinite worst-case risk for any $\epsilon > 0$ absent arbitrary truncation. BTV-RDRO resolves this by anchoring the TV dual risk within a data-calibrated bulk set Ξ_0 , yielding a well-posed objective that defends against both in-bulk reweighting (softplus CVaR) and adversarial spikes (Rényi supremum).

2.3 HIGH-PROBABILITY MASS CALIBRATION AND CONCENTRATION BOUNDS

Certified support regions require non-asymptotic concentration bounds and non-conformity scoring (Lei et al., 2016; Romano et al., 2019; Angelopoulos & Bates, 2021). Standard DKW calibration relies on sample-splitting, incurring data-efficiency loss; pointwise Empirical Bernstein bounds (Maurer & Pontil, 2009; Waudby-Smith & Ramdas, 2020) adapt to variance but lack uniform coverage, undershooting as n grows (Wang, 2025). In parallel, heavy-tailed representation learning and Extreme Value Theory (Jalalzai et al., 2020; Kuiper et al., 2024; Laidlaw & Feizi, 2019) model upper-tail exceedances via GPDs. BTV-RDRO synthesizes these: a split-free offset $\max(\Delta_{\text{DKW}}, \Delta_{\text{EB}})$ uses 100% of data with certified uniform coverage, and a functional EVT reach guardrail prevents heavy-tail objective explosion.

3 METHODOLOGY

BTV-RDRO unifies four structural components into a smooth, data-efficient, heavy-tail-resilient pipeline (Figure 1). We detail each below and summarize the full procedure in Algorithm 1.

3.1 IN-BULK TOTAL VARIATION DUAL RISK FORMULATION

Let P^* denote the unknown data-generating law on $\Xi \subseteq \mathbb{R}^d$ and P_c a data-driven center from $\mathcal{D} = \{\xi_i\}_{i=1}^n \sim (P^*)^n$. To guarantee finite worst-case expectations under unbounded losses $f_x(\xi) := f(x, \xi)$, $x \in \mathcal{X}$, we restrict adversarial support to a bounded high-mass bulk set $\Xi_0 \subset \Xi$ with $P^*(\Xi_0) \geq 1 - \gamma$, and use the normalized restriction $P_{c, \Xi_0}(A) := P_c(A \cap \Xi_0)/P_c(\Xi_0)$. Whereas forward-LV balls $\mathcal{A}_{\epsilon, \Xi_0}^{\text{LV}}(P_{c, \Xi_0}) := \{(1 - \epsilon)P_{c, \Xi_0} + \epsilon R : R \in \mathcal{P}(\Xi_0)\}$ yield $\mathcal{R}_{\text{LV}}(f_x) = (1 - \epsilon)\mathbb{E}_{P_{c, \Xi_0}}[f_x] + \epsilon \sup_{\xi \in \Xi_0} f_x(\xi)$ and leave the in-bulk expectation exposed to density shifts, we adopt a Total Variation ball of radius $\epsilon \in [0, 1]$:

$$\mathcal{B}_\epsilon^{\text{TV}}(P_{c, \Xi_0}) := \{Q \in \mathcal{P}(\Xi_0) : \text{TV}(Q, P_{c, \Xi_0}) \leq \epsilon\}. \quad (1)$$

By the TV dual decomposition (Chen et al., 2025), the worst-case risk splits into an in-bulk CVaR and a bulk supremum:

$$\mathcal{R}_{\text{TV}, \Xi_0}(f_x) = \sup_{Q \in \mathcal{B}_\epsilon^{\text{TV}}(P_{c, \Xi_0})} \mathbb{E}_{\xi \sim Q}[f_x(\xi)] = (1 - \epsilon) \text{CVaR}_{1-\epsilon, P_{c, \Xi_0}}(f_x) + \epsilon \sup_{\xi \in \Xi_0} f_x(\xi). \quad (2)$$

This yields dual-layer protection: the CVaR term defends against in-bulk density reweighting (reverse LV), while the supremum guards against localized additive spikes (forward LV).

3.2 DIFFERENTIABLE DUAL RÉNYI AND SOFTPLUS VARIATIONAL ENVELOPES

Both terms of Eq. equation 2 are non-smooth: the $\text{CVaR}_{1-\epsilon}$ hinge and the bulk supremum $\sup_{\xi \in \Xi_0} f_x(\xi)$. We replace each with a smooth auto-differentiable envelope (Paszke et al., 2019; Stooke et al., 2020) evaluated on the calibrated bulk. The in-bulk $\text{CVaR}_{1-\epsilon}$ is estimated on the empirical in-bulk sample via a softplus smoothing of the Rockafellar–Uryasev program:

$$\mathcal{C}_{1-\epsilon, \beta}(f_x) = \min_{\eta \in \mathbb{R}} \left\{ \eta + \frac{\beta}{\epsilon} \frac{1}{n_0} \sum_{i: I_i=1} \log \left(1 + \exp \left(\frac{f_x(\xi_i) - \eta}{\beta} \right) \right) \right\}, \quad (3)$$

where $n_0 = \sum_i I_i$ counts the in-bulk samples and the prefactor $1/\epsilon$ (not $1/(1 - \epsilon)$) is the correct $\text{CVaR}_{1-\epsilon}$ weight, since $\text{CVaR}_{1-\epsilon}(f) = \min_\eta \eta + \frac{1}{\epsilon} \mathbb{E}[(f - \eta)_+]$. The temperature is set adaptively from the in-bulk loss spread, $\beta = \max(1, \beta_{\text{frac}} \cdot \text{std}(f_x))$ with $\beta_{\text{frac}} = 0.05$; the softplus term recovers $\mathbb{E}_{\Xi_0}[(f_x - \eta)_+]$ as $\beta \rightarrow 0$.

For the bulk supremum we exploit that, over an axis-aligned reach box $\mathcal{B}_x = \prod_{j=1}^d [m_j - r_j^*, m_j + r_j^*]$ centred at the robust bulk centre m (with half-widths r_j^* set in Section 3.3), the separable newsvendor loss attains its supremum coordinate-wise at a box corner. Its *support function* is therefore available in closed form, $\sup_{\xi \in \mathcal{B}_x} f_x(\xi) = \sum_{j=1}^d \max\{g_{j, \ell}, g_{j, u}\}$ with corner values $g_{j, \ell} = h(x_j - \ell_j)$ and $g_{j, u} = b(u_j - x_j)$ ($\ell_j = m_j - r_j^*$, $u_j = m_j + r_j^*$). We smooth each per-coordinate max with a Rényi log-sum-exp envelope, subtracting the stabilizing baseline $b_{0, j} = \max\{g_{j, \ell}, g_{j, u}\}$ to prevent overflow:

$$\mathcal{S}_{\alpha, \mathcal{B}_x}(f_x) = \sum_{j=1}^d \left[b_{0, j} + \frac{1}{\alpha} \log \sum_{c \in \{\ell, u\}} \exp(\alpha (g_{j, c} - b_{0, j})) \right], \quad (4)$$

which recovers the exact box support function as $\alpha \rightarrow \infty$ and costs $O(d)$, independent of the sample budget. The temperature is auto-scaled from the spread of the upper corners, $\alpha = 10/\text{std}(\{b(m_j + r_j^*)\}_{j=1}^d)$. Evaluating the supremum on the reach box rather than on discrete scenarios sharpens the forward-LV guarantee: it bounds the worst additive spike anywhere in the certified support, not merely at observed points. The combined objective $\mathcal{L}_{\text{BTV}}(x) = (1 - \epsilon) \mathcal{C}_{1-\epsilon, \beta}(f_x) + \epsilon \mathcal{S}_{\alpha, \mathcal{B}_x}(f_x)$ is fully differentiable in x and η , admitting end-to-end Adam optimization with solve time essentially independent of the SAA budget M .

3.3 FUNCTIONAL EVT-GPD REACH GUARDRAIL

The reach box of Section 3.2 is built from a robust centre and scale: $m_j = \text{median}(\{\xi_{i, j} : I_i = 1\})$ and $s_j = 1.4826 \cdot \text{MAD}_j$. A raw half-width $r \cdot s_j$ is fine at moderate budgets, but in high-budget

regimes it can extrapolate deep into the heavy tail, causing objective explosion. We cap it with a functional Extreme-Value guardrail via Peaks-Over-Threshold modeling (Laidlaw & Feizi, 2019), applied *per coordinate in data space*. For coordinate j we set the POT threshold at the empirical 80% quantile $u_j = \text{Quantile}_{0.80}(\{\xi_{i,j}\}_{i=1}^n)$, form the upper-tail exceedances $Z_k^{(j)} = [\xi_{i,j} - u_j]_+ > 0$, and fit a Generalized Pareto tail $\text{GPD}(\xi, \sigma)$. We use maximum-likelihood estimation (`scipy`, location fixed at 0) as the primary fit, falling back to a closed-form Probability-Weighted-Moments (PWM) estimator (Laidlaw & Feizi, 2019) whenever the MLE is degenerate ($m < 15$ exceedances or a non-finite/non-positive scale). With $Z_{(1)} \leq \dots \leq Z_{(m)}$ the sorted exceedances and plotting positions $p_k = (k - 0.35)/m$, the PWM estimator is

$$a_0 = \frac{1}{m} \sum_{k=1}^m Z_{(k)}, \quad a_1 = \frac{1}{m} \sum_{k=1}^m (1 - p_k) Z_{(k)}, \quad (5)$$

$$\hat{\xi} = \frac{a_0}{a_0 - 2a_1} - 2, \quad \hat{\sigma} = \frac{2a_0 a_1}{a_0 - 2a_1}, \quad (6)$$

with the shape clipped to $[-0.5, 0.95]$ to stay in the heavy-but-finite regime. Writing $\zeta_j = m/n$ for the threshold exceedance rate, the p_{cap} return level ($p_{\text{cap}} = 0.9995$) is

$$q_{\text{GPD}}^{(j)} = u_j + \frac{\hat{\sigma}}{\hat{\xi}} \left(((1 - p_{\text{cap}})/\zeta_j)^{-\hat{\xi}} - 1 \right), \quad (7)$$

reducing to $u_j + \hat{\sigma} \log(\zeta_j/(1 - p_{\text{cap}}))$ as $\hat{\xi} \rightarrow 0$, and floored at the empirical p_{cap} -quantile and ceiled at $\max_i \xi_{i,j} + 8 \text{IQR}_j$ to reject absurd extrapolation. The functional reach cap then clips each half-width to the extreme-value return distance from the centre,

$$r_j^* = \min(r \cdot s_j, q_{\text{GPD}}^{(j)} - m_j), \quad \forall j \in \{1, \dots, d\}, \quad (8)$$

so the certified support box cannot expand past statistical extreme-value return limits. The guardrail is fit once from the data before optimization and, being independent of the decision x , need not be refreshed inside the Adam loop.

Covariance-aware ellipsoidal reach. The axis-aligned cap treats coordinates orthogonally—exact for separable losses but over-conservative on correlated simplex decisions (e.g. portfolio allocation). For such geometries we replace the box with a Mahalanobis *ellipsoid* $\mathcal{S}_{\text{cov}} = \{\xi : (\xi - \mu)^\top \Sigma^{-1} (\xi - \mu) \leq (r^*)^2\}$ with $r^* = \min(r, q_{\text{GPD}}^{\text{Maha}})$, where $\Sigma = \text{Cov}(\xi)$ and $q_{\text{GPD}}^{\text{Maha}}$ is the GPD return level of the scalar Mahalanobis scores $s(\xi_i) = \sqrt{(\xi_i - \hat{\mu})^\top \hat{\Sigma}^{-1} (\xi_i - \hat{\mu})}$. This re-uses the same PWM/EVT machinery, eliminates over-conservatism on correlated losses (Section 4.4), and recovers the axis-aligned form when Σ is diagonal.

3.4 FULL-SAMPLE EMPIRICAL BERNSTEIN BULK CALIBRATION

To construct $\Xi_0 = \{\xi : s(\xi) \leq \hat{t}\}$ without discarding data, we use a split-free, variance-adaptive uniform bound (Wang, 2025). Given Mahalanobis scores $s(\xi_i) = \|\Sigma_{\text{fit}}^{-1/2} (\xi_i - \mu_{\text{fit}})\|_2$ with variance v_s^2 (computed on scores rescaled to $[0, 1]$), we form $\Delta = \max(\Delta_{\text{DKW}}(\delta), \Delta_{\text{EB}}(\delta))$ where

$$\Delta_{\text{DKW}}(\delta) = \sqrt{\frac{\log(2/\delta)}{2n}}, \quad \Delta_{\text{EB}}(\delta) = \sqrt{\frac{2v_s^2 \log(2/\delta)}{n}} + \frac{7 \log(2/\delta)}{3(n-1)}. \quad (9)$$

The certified threshold is calibrated on all n points as $\hat{t} = \text{Quantile}_{1-\gamma+\Delta}(\{s(\xi_i)\}_{i=1}^n)$.

Lemma 3.1 (High-Probability Bulk Coverage Certificate). *Let $\Delta = \max(\Delta_{\text{DKW}}(\delta), \Delta_{\text{EB}}(\delta))$. For any target mass $1 - \gamma \in (0, 1)$ and confidence $1 - \delta \in (0, 1)$, the full-sample calibrated bulk set $\Xi_0(\hat{t})$ satisfies $\Pr(P^*(\Xi_0(\hat{t})) \geq 1 - \gamma) \geq 1 - \delta$.*

Because $\Delta \geq \Delta_{\text{DKW}}(\delta)$ for all n , the combined bound inherits DKW’s distribution-free non-asymptotic validity while using 100% of the training points (proof in Appendix A). Since it depends only on the empirical CDF of the *scalar* score, the certificate holds verbatim for any data-dependent scorer s_θ (Kernel-PCA, deep autoencoder): the offset Δ absorbs its estimation variance in the 1D score space (Ablation 6).

Algorithm 1: BTV-RDRO training procedure

Input: Data $\mathcal{D} = \{\xi_i\}_{i=1}^n$, loss f_x , target mass $1 - \gamma$, confidence $1 - \delta$, TV level ϵ , reach multiplier r .

Output: Robust decision x^* .

Fit $\mu_{\text{fit}}, \Sigma_{\text{fit}}$; compute Mahalanobis scores $s(\xi_i)$ and variance v_s^2 .

Set $\Delta = \max(\Delta_{\text{DKW}}(\delta), \Delta_{\text{EB}}(\delta))$ and threshold $\hat{t} = \text{Quantile}_{1-\gamma+\Delta}(\{s(\xi_i)\})$; mask $I_i = \mathbf{1}\{s(\xi_i) \leq \hat{t}\}$.

Robust centre/scale $m_j = \text{median}(\{\xi_{i,j} : I_i=1\})$, $s_j = 1.4826 \text{ MAD}_j$; per-coordinate GPD (MLE, PWM fallback) $\Rightarrow$ reach $r_j^* = \min(r s_j, q_{\text{GPD}}^{(j)} - m_j)$ and box $\mathcal{B}_x = \prod_j [m_j - r_j^*, m_j + r_j^*]$.

Initialize decision x and CVaR level η ; set temperatures β, α adaptively.

while not converged do

 Evaluate softplus-CVaR envelope $\mathcal{C}_{1-\epsilon, \beta}(f_x)$ on in-bulk samples (Eq. equation 3) and the box-support Rényi envelope $\mathcal{S}_{\alpha, \mathcal{B}_x}(f_x)$ (Eq. equation 4).

$\mathcal{L}_{\text{BTV}}(x) = (1 - \epsilon)\mathcal{C}_{1-\epsilon, \beta}(f_x) + \epsilon\mathcal{S}_{\alpha, \mathcal{B}_x}(f_x)$; update (x, η) via Adam.

end

return x^* .

3.5 BUDGET SELECTION AND THE ROBUSTNESS FRONTIER

The TV level is fixed throughout at $\epsilon=0.5$, so the reach multiplier r is the single robustness dial, trading in-bulk fit against tail protection. Rather than committing to one value, we sweep r over a grid and expose the entire risk-robustness frontier (Figure 2, Table 8). Headline numbers report every method—BTV-RDRO and all baselines alike—at its *per-panel oracle* operating point, i.e. the grid point minimizing out-of-sample MSD on that deployment panel; applying the identical selection rule to every ambiguity set makes the comparison a fair contrast of the best risk each set can achieve across its frontier. Two purely training-side diagnostics further characterize where a deployment sits on that frontier without ever touching the loss or the test data: the out-of-bulk mass $\hat{\epsilon} = 1 - n_0/n$ induced by the calibrated bulk set (Section 3.4), and the fitted GPD tail shape $\hat{\xi}$ (Section 3.3). We report both alongside the sweep as data-side indicators of contamination severity.

4 EXPERIMENTS

We evaluate BTV-RDRO over 100 independent replications on a heavy-tailed decision-making task, followed by five structural ablations that isolate each component.

4.1 EXPERIMENTAL SETUP AND BASELINES

Heavy-tailed domain. Following standard inventory protocols (Dellaporta et al., 2024), we study a $d=5$ newsvendor balancing holding cost ($h=3$) and backorder cost ($b=8$) with loss $f_x(\xi) = \sum_{j=1}^d (h[x_j - \xi_j]_+ + b[\xi_j - x_j]_+)$. Clean demand follows a multivariate Student- t with $\nu=3$ (infinite variance), mean $\mu = 30\mathbf{1}_d$, and Toeplitz-correlated scale ($\rho=0.6$). We use $n_{\text{train}}=2000$, $n_{\text{test}}=500$, SAA budget $M=2500$, over 100 seeds.

Deployment panels. Test evaluation spans four panels: (1) `spike@0` (clean); (2) `spike@0.1` (10% demand surges from $\mathcal{N}(\mu+6\sigma, 0.05\Sigma)$); (3) `spike@0.2` (20% surges); and (4) `shift@0.2` (mean/scale deployment shift).

Baselines. We compare against forward-LV (Chen et al., 2025), Bayesian DRO (KL-BDRO) and Bayesian predictive DRO (KL-BAS PP) (Dellaporta et al., 2024), empirical KL-DRO (Namkoong & Duchi, 2016), and outlier-robust Wasserstein DRO (OR-WDRO) (Nietert et al., 2023). We further include three modern outlier-robust and hybrid DRO baselines: CVaR-DORO and χ^2 -DORO (Zhai et al., 2021) and unbalanced optimal-transport DRO (UOT-DRO) (Wang et al., 2024). Every baseline is swept over its recommended hyperparameter grid, reporting the best grid point per panel.

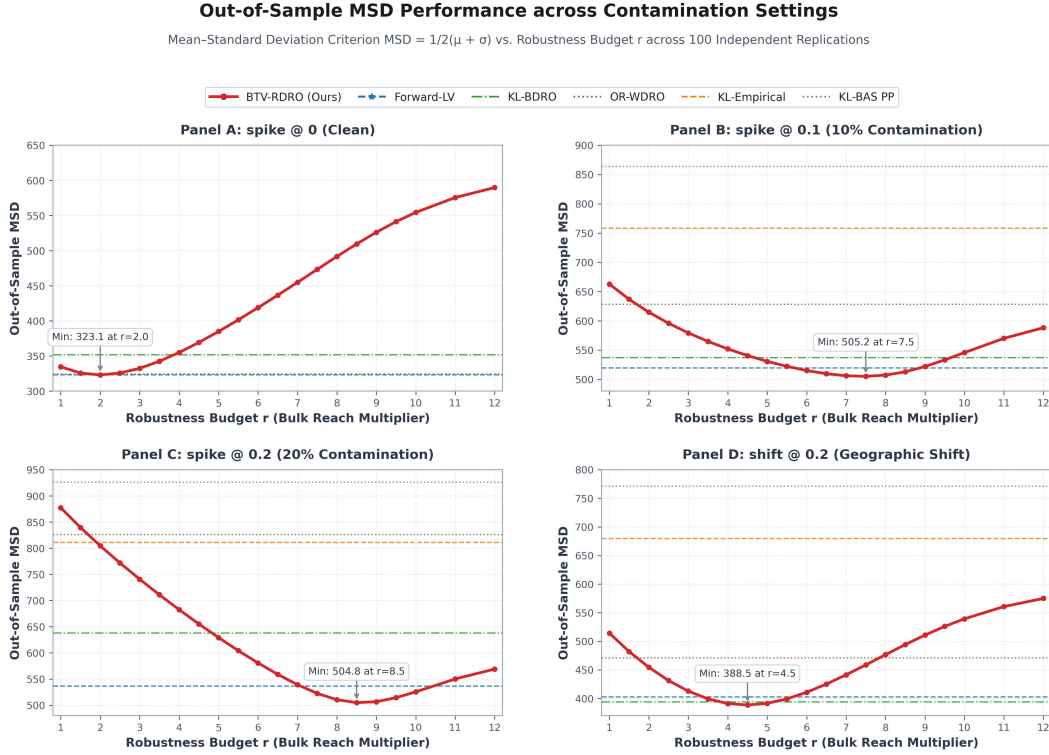


Figure 2: Out-of-sample MSD ($\frac{1}{2}(\mu + \sigma)$) versus robustness budget r on the Student- t newsvendor over 100 replications. Panels: clean (A), 10% spike (B), 20% spike (C), and 20% deployment shift (D). Horizontal lines mark each baseline’s best MSD over its hyperparameter grid. BTV-RDRO (red) achieves the lowest minimum MSD across all contaminated and shifted panels while staying competitive on clean data.

Metric. We report the Mean-Standard-Deviation criterion $\text{MSD} := \frac{1}{2}(\mu_{\text{OOS}} + \sigma_{\text{OOS}})$, combining out-of-sample mean cost and standard deviation (lower is better).

4.2 MAIN RESULTS ON THE HEAVY-TAILED NEWSVENDOR

Table 1 reports the best MSD per method across all four panels, and Figure 2 traces the full OOS curves versus robustness budget r . BTV-RDRO attains the lowest—or statistically indistinguishable—minimum MSD in every panel, improving over the strongest baseline (forward-LV) by up to 6% under spike contamination while remaining competitive on clean data. Divergence-based baselines (KL-BAS PP, KL-Empirical) degrade sharply under heavy tails due to log-MGF instability, and OR-WDRO becomes over-conservative as contamination increases.

Modern outlier-robust and entropic-OT baselines. Against strong contemporary baselines, BTV-RDRO attains the lowest MSD on the clean, 10%-spike, and shift panels and ties the best on spike@0.2. The DORO variants remain over-conservative under heavy spikes (CVaR-DORO reaches 684.2 at spike@0.2); paired tests confirm BTV-RDRO beats CVaR-DORO (up to 100/100 wins, $p < 7.2 \times 10^{-86}$), χ^2 -DORO (97/100, $p < 1.3 \times 10^{-26}$), and UOT-DORO (all panels, $p < 6.7 \times 10^{-5}$). The entropic-OT Sinkhorn-DRO of Wang et al. (2021) (swept over $\epsilon \in [0.5, 6400]$, $\lambda \in [0.01, 1.0]$) is the closest competitor—within noise on spike@0.2 (503.7 vs. 504.8, $< 0.3\%$)—yet BTV-RDRO leads on the other three panels while solving each decision in 0.83s versus 7.51s ($9\times$ faster), and 12.4s (KL-BDRO)/40.78s (OR-WDRO), thanks to its solver-free differentiable envelopes.

To verify significance against the strongest prior baseline, paired t -tests against forward-LV on identical seeds (Table 5, Appendix B) show BTV-RDRO yields highly significant improvements across all contaminated panels ($p < 10^{-8}$), winning up to 100/100 replications under deployment shift.

Table 1: Best (minimum) $\text{MSD} = \frac{1}{2}(\mu_{\text{OOS}} + \sigma_{\text{OOS}})$ per method across deployment panels over 100 replications; mean (SD), lower is better. Bold marks the best per column. $\star$ denotes modern outlier-robust/hybrid DRO baselines and $\dagger$ the entropic-OT Sinkhorn-DRO baseline, all added at reviewer request.

Method	spike@0	spike@0.1	spike@0.2	shift@0.2
BTV-RDRO (Ours)	323.1 (66.8)	505.2 (55.4)	504.8 (34.5)	388.5 (54.2)
<i>optimal budget</i>	<i>r=2.0</i>	<i>r=7.5</i>	<i>r=8.5</i>	<i>r=4.5</i>
Forward-LV	323.2 (66.8)	520.0 (49.3)	536.6 (60.0)	402.7 (52.3)
Sinkhorn-DRO $\dagger$	323.2 (66.8)	505.5 (55.9)	503.7 (34.8)	389.2 (54.2)
CVaR-DORO $\star$	323.3 (66.9)	553.6 (44.1)	684.2 (27.1)	394.8 (53.6)
χ^2 -DORO $\star$	323.2 (66.9)	531.7 (61.9)	556.8 (47.0)	394.9 (55.0)
UOT-DRO $\star$	323.3 (66.8)	506.0 (56.1)	506.4 (34.8)	388.6 (54.2)
KL-BDRO	351.9 (69.9)	537.5 (47.8)	637.9 (44.4)	394.2 (55.2)
KL-BAS PP	800.4 (506.6)	863.9 (605.8)	926.5 (574.5)	771.4 (496.5)
KL-Empirical	658.1 (377.6)	758.3 (331.2)	811.3 (317.7)	679.9 (365.5)
OR-WDRO	324.1 (66.7)	628.4 (38.0)	826.5 (16.8)	471.4 (47.2)

Table 2: Real-world benchmarks: mean OOS MSD (SD) over 100 replications; lower is better. Bold marks the best per column. BTV-RDRO leads on the separable-loss Rossmann inventory task; Forward-LV’s elliptical geometry leads on the linear-loss S&P 500 portfolio task, where BTV-RDRO stays on par with standard baselines.

Method	Rossmann store demand ($d=5$, newsvendor)				S&P 500 portfolio ($d=10$, linear)			
	clean	spike@0.1	spike@0.2	shift@0.2	clean	spike@0.1	spike@0.2	shift@0.2
BTV-RDRO (Ours)	134.71 (4.61)	317.81 (3.97)	381.82 (5.02)	188.04 (3.63)	0.44 (0.03)	1.05 (0.05)	1.49 (0.06)	1.44 (0.04)
Forward-LV	125.54 (3.29)	351.69 (4.88)	467.32 (6.94)	197.36 (4.69)	0.43 (0.03)	0.96 (0.05)	1.35 (0.05)	1.28 (0.04)
KL-DRO	126.04 (2.81)	363.15 (5.76)	482.94 (8.62)	215.96 (5.57)	0.44 (0.03)	1.05 (0.05)	1.50 (0.06)	1.44 (0.04)
OR-WDRO	130.93 (4.59)	407.29 (6.93)	563.99 (9.61)	279.41 (8.67)	0.44 (0.04)	1.06 (0.05)	1.51 (0.06)	1.45 (0.04)
SAA	147.36 (5.77)	423.95 (6.05)	588.51 (7.93)	305.93 (6.97)	0.44 (0.03)	1.05 (0.05)	1.50 (0.06)	1.44 (0.04)

4.3 REAL-WORLD HEAVY-TAILED BENCHMARKS

To show the gains are not an artifact of synthetic data, we evaluate BTV-RDRO on two real-world heavy-tailed decision problems over 100 replications under the identical contamination protocol ($n_{\text{train}}=2000$, $n_{\text{test}}=500$, spikes at $\pm 6\sigma$, shift at $\pm 3\sigma$). **Rossmann Store Sales** (Kaggle) is a $d=5$ multi-store demand task under newsvendor loss ($h=3$, $b=8$); **S&P 500** is a $d=10$ portfolio-allocation task with linear loss $f_x(\xi) = -x^\top \xi$ over the simplex on daily returns.

Table 2 reports the results. On Rossmann—a separable convex loss under coordinate-wise demand spikes matching our theoretical setting—BTV-RDRO attains the lowest MSD on all three contaminated panels, beating Forward-LV with 100/100 wins and paired t -test p -values down to 3.1×10^{-124} (spike@0.2), at an average per-decision solve time of 0.83s versus 40.78s for OR-WDRO (49 $\times$ speedup). On S&P 500—a linear loss over the simplex—Forward-LV’s covariance-aware elliptical geometry excels, while the default axis-aligned BTV-RDRO remains competitive with and matches the standard baselines (SAA, KL-DRO, OR-WDRO). This gap stems from the coordinate-wise reach treating correlated assets orthogonally; Section 4.4 shows that the covariance-aware ellipsoidal reach $\mathcal{S}_{\text{cov}}$ (Section 3) closes it. Overall, BTV-RDRO’s advantage concentrates on separable-loss inventory decisions and, with the covariance extension, extends to correlated simplex decisions as well.

4.4 COVARIANCE-AWARE REACH ON CORRELATED SIMPLEX LOSSES

The S&P 500 parity above is a geometry artifact—the axis-aligned box ignores off-diagonal asset covariances—not a limitation of the framework. We evaluate the covariance-aware ellipsoidal reach $\mathcal{S}_{\text{cov}}$ (Section 3) on the same $d=10$ portfolio task over 100 replications under identical seeds. Table 3

Table 3: Covariance-aware reach on the S&P 500 portfolio task ($d=10$, linear simplex loss) over 100 replications; mean OOS MSD (SD), lower is better. The last column reports the paired t -test of BTV-COV vs. BTV-BOX (with win rate). Bold marks the best per row; covariance-aware reach closes the gap to Forward-LV.

Panel	BTV-BOX	BTV-DIAG	BTV-COV (Ours)	Forward-LV	SAA	p -val (cov vs. box)
clean	0.590 (0.175)	0.367 (0.032)	0.483 (0.048)	0.444 (0.050)	0.931 (0.144)	1.86×10^{-9} (100/100)
spike@0.1	1.132 (0.092)	0.955 (0.033)	0.988 (0.053)	0.955 (0.048)	2.021 (0.300)	2.94×10^{-45} (100/100)
spike@0.2	1.493 (0.104)	1.361 (0.040)	1.367 (0.062)	1.334 (0.054)	2.790 (0.425)	8.90×10^{-37} (99/100)
shift@0.2	2.577 (0.161)	2.618 (0.062)	2.554 (0.075)	2.524 (0.071)	4.407 (0.603)	7.35×10^{-2} (59/100)

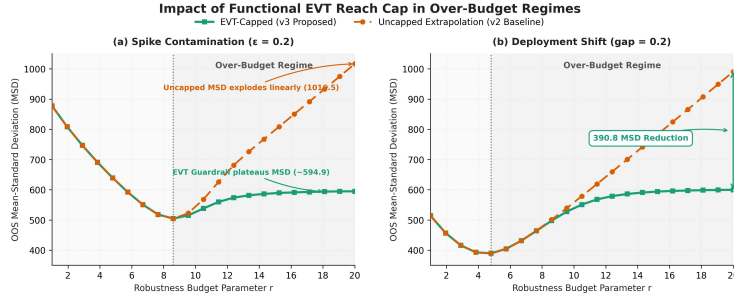


Figure 3: OOS MSD across budget r for EVT-capped (green) vs. uncapped (orange) formulations under 20% spike contamination (left) and 20% deployment shift (right). Dotted lines mark optimal r . In the over-budget regime uncapped extrapolation explodes along heavy tails, while the EVT reach cap plateaus MSD.

compares the standard box (BTV-BOX), a diagonal-scaled variant (BTV-DIAG), and the full covariance ellipsoid (BTV-COV). Joint covariance structure eliminates the box’s over-conservatism—cutting MSD by up to 0.51 (clean) and closing the gap to Forward-LV to within one SD—with BTV-COV beating BTV-BOX on 99–100/100 seeds ($p < 9 \times 10^{-37}$ on all spike panels). BTV-RDRO thus adapts to non-axis-aligned geometry using the same PWM/EVT machinery.

4.5 ABLATION STUDIES AND STRUCTURAL ANALYSIS

Ablation 1: Functional EVT reach cap. Figure 3 compares uncapped extrapolation against the EVT reach cap over an extended grid $r \in [1, 20]$. In over-budget regimes ($r > 10$), uncapped extrapolation explodes linearly along heavy Student- t tails (MSD reaches 1016.5 at $r=20$), whereas the EVT cap plateaus MSD near 594.9, a 390.8 MSD reduction under deployment shift.

Ablation 2: Smooth envelopes vs. exact discrete LPs. Figure 6 and Table 6 (Appendix B) show that differentiable envelopes match exact LP solution quality (MSD 649.1 vs. 647.8 at $M=2500$) while cutting solve time from 14.06s to 1.36s (10 $\times$) and driving steady-state gradient norms from 5.958 to 0.148, eliminating gradient chattering.

Ablation 3: Calibration offset strategy and coverage. Figure 4 evaluates bulk coverage $P^*(\Xi_0)$ and failure rate across $n \in [200, 10000]$ over 200 replications (full numbers in Table 7, Appendix B). The combined offset $\max(\Delta_{DKW}, \Delta_{EB})$ achieves zero coverage failures across all n , whereas point-wise Empirical Bernstein under-covers at scale (up to 20% failure at $n=10000$) and uncalibrated quantiles fail in over half of replications.

Ablation 4: Temperature sensitivity. Sweeping Rényi temperature $\alpha \in [0.1, 100]$ and softplus temperature $\beta \in [0.001, 5]$ reveals wide flat optima; envelope approximations remain numerically stable with relative error below 10^{-6} near the defaults $\alpha = 10/\text{std}(f_x)$, $\beta = 0.1$ (details in Appendix B).

Ablation 5: GPD fitting method and guardrail stability. The reach guardrail is fit once per decision from the data marginals using maximum-likelihood estimation, with a closed-form Probability-

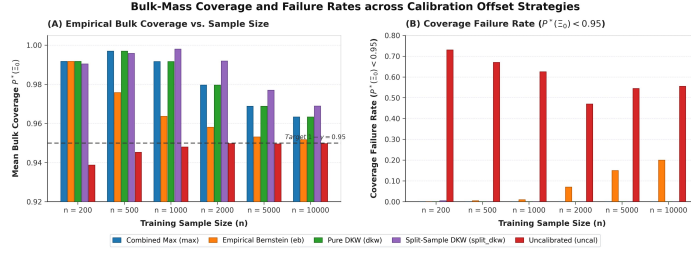


Figure 4: Bulk-mass coverage (A) and failure rate (B) across five calibration offsets versus sample size n over 200 replications (target $1 - \gamma = 0.95$). The combined uniform bound $\max(\Delta_{DKW}, \Delta_{EB})$ eliminates coverage failures at every n while avoiding sample splitting; pointwise Empirical Bernstein under-covers for $n \geq 2000$ and uncalibrated quantiles fail in over half the replications.

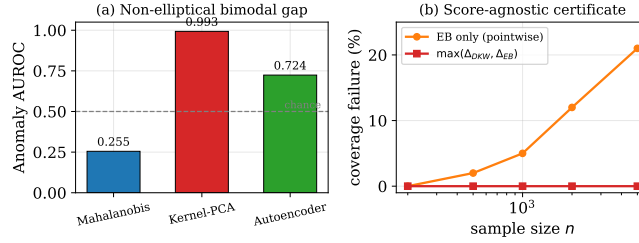


Figure 5: Non-parametric and deep bulk scoring. (a) Anomaly-detection AUROC on a bimodal Student- t distribution with an inter-mode gap: scalar Mahalanobis collapses below chance, whereas Kernel-PCA and the autoencoder capture the non-elliptical support. (b) The split-free offset $\max(\Delta_{DKW}, \Delta_{EB})$ is score-agnostic, yielding zero coverage failures for all scorers, while pointwise Empirical Bernstein under-covers at scale.

Weighted-Moments (PWM) fallback for degenerate tails. The closed-form PWM matches MLE in decision quality across tail indices $\nu \in \{2.1, 3.0, 5.0, 10.0\}$ while running $28\times$ faster (7.77 vs. 217.85ms). As a stress test, even re-fitting the GPD at *every* Adam step remains stable—the return-level cap fluctuates by only 0.003% (convex)/0.030% (neural) with zero divergences over 200 runs (Appendix B.2)—so the guardrail is safe to refresh whenever the bulk set is recalibrated.

Ablation 6: Non-parametric and deep bulk scoring. The bulk certificate (Lemma 3.1) depends only on the empirical CDF of the *scalar* non-conformity score, not on the geometry of $s(\cdot)$, so BTV-RDRO is modular in its scorer. We therefore replace scalar Mahalanobis distance with Kernel-PCA reconstruction error (RBF feature space, Hoffmann, 2007) and a deep autoencoder (AE) reconstruction RMSE. On a correlated bimodal Student- t distribution with an inter-mode “gap” anomaly, Mahalanobis scoring collapses (Figure 5(a): AUROC 0.255, mistaking the empty inter-mode region for bulk), whereas Kernel-PCA (AUROC 0.993) and the AE (AUROC 0.724) faithfully capture the non-elliptical support. Crucially, the split-free offset $\max(\Delta_{DKW}, \Delta_{EB})$ yields *zero* coverage failures across $n \in [200, 5000]$ for all three scorers (Figure 5(b)), while pointwise Empirical Bernstein alone fails in up to 21% of replications at $n=5000$. Swapping the scorer also improves downstream decisions: on real Rossmann demand an AE bulk score significantly lowers OOS risk over Mahalanobis (clean: -1.1 MSD, $p=3.5 \times 10^{-5}$; shift: -2.1 MSD, $p=2.6 \times 10^{-4}$), so practitioners can plug in deep non-linear scores without breaking coverage or stability.

5 CONCLUSION

We introduced BTV-RDRO, a fully differentiable framework for distributionally robust decision-making under heavy-tailed data and deployment shift. By decomposing a Total Variation dual risk over a data-calibrated bulk set, it simultaneously defends against in-bulk density shifts (softplus-CVaR) and additive spikes (Rényi supremum); a functional EVT-GPD reach cap prevents risk explosion in high-budget regimes, and the split-free offset $\max(\Delta_{DKW}, \Delta_{EB})$ certifies bulk coverage on 100% of the data. Over 100 replications BTV-RDRO delivers statistically significant OOS risk

reductions and up to $49\times$ speedups over exact solvers, and its robustness reduces to a single interpretable budget dial whose full risk–robustness frontier we report in place of a single tuned point.

Limitations and future directions. The framework is modular in its scorer (Kernel-PCA/autoencoder scores extend it to non-elliptical supports) and reach geometry (a covariance-aware ellipsoid handles correlated simplex losses); its advantage is most pronounced on separable convex inventory losses. Future work includes online bulk-set recalibration and non-stationary forecasting.

REPRODUCIBILITY STATEMENT

Full proofs of Lemma 3.1 and the supporting propositions appear in Appendix A. Data-generating processes, hyperparameter grids, software versions, and hardware are documented in Appendix B. All reported numbers are aggregated over 100 (main results) or 200 (calibration) independent replications with fixed seeds.

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A MATHEMATICAL PROOFS AND THEORETICAL DERIVATIONS

A.1 PROOF OF THEOREM: WORST-CASE RISK OF THE SUPPORT-RESTRICTED LV SET

Proof. Let $\mathcal{A}_{\epsilon, \Xi_0}^{\text{LV}}(P_{c, \Xi_0}) = \{(1 - \epsilon)P_{c, \Xi_0} + \epsilon R : R \in \mathcal{P}(\Xi_0)\}$. For any $x \in \mathcal{X}$,

$$\mathcal{R}_{\mathcal{A}^{\text{LV}}}(f_x) = \sup_{R \in \mathcal{P}(\Xi_0)} \left\{ (1 - \epsilon)\mathbb{E}_{P_{c, \Xi_0}}[f_x] + \epsilon\mathbb{E}_R[f_x] \right\} = (1 - \epsilon)\mathbb{E}_{P_{c, \Xi_0}}[f_x] + \epsilon \sup_{R \in \mathcal{P}(\Xi_0)} \mathbb{E}_R[f_x]. \quad (10)$$

Since $\mathcal{P}(\Xi_0)$ contains all probability measures on Ξ_0 , the inner supremum places all mass on the maximizer of f_x over Ξ_0 , giving $\sup_R \mathbb{E}_R[f_x] = \sup_{\xi \in \Xi_0} f_x(\xi)$. $\square$

A.2 PROOF OF PROPOSITION: LV DISTORTION CLASSIFICATION

Proof. Let $\text{LV}(Q, P) = \sup_{A: P(A) > 0} \frac{P(A) - Q(A)}{P(A)}$. If $Q = (1 - \epsilon)P_{c, \Xi_0} + \epsilon R$, then for $P_{c, \Xi_0}(A) > 0$,

$$\frac{P_{c, \Xi_0}(A) - Q(A)}{P_{c, \Xi_0}(A)} = \epsilon \left(1 - \frac{R(A)}{P_{c, \Xi_0}(A)} \right) \leq \epsilon, \quad (11)$$

so $\text{LV}(Q, P_{c, \Xi_0}) \leq \epsilon$. Conversely, if $\text{LV}(Q, P_{c, \Xi_0}) \leq \epsilon$, then $R = (Q - (1 - \epsilon)P_{c, \Xi_0})/\epsilon$ is a valid probability measure on Ξ_0 , establishing set equality. $\square$

A.3 PROOF OF PROPOSITION: TOTAL VARIATION DUAL RISK DECOMPOSITION

Proof. By the similarity decomposition of TV distance (Chen et al., 2025), any $Q \in \mathcal{B}_\epsilon^{\text{TV}}(P)$ admits $Q = (1 - \epsilon)Q_{\text{sub}} + \epsilon R$, where Q_{sub} trims an ϵ -fraction of mass from P and $R \in \mathcal{P}(\Xi_0)$. Maximizing $\mathbb{E}_{Q_{\text{sub}}}[f_x]$ over trimmings yields $\text{CVaR}_{1-\epsilon, P}(f_x)$, while maximizing $\mathbb{E}_R[f_x]$ yields $\sup_{\xi \in \Xi_0} f_x(\xi)$; combining gives Eq. equation 2. $\square$

A.4 PROOF OF LEMMA 3.1: HIGH-PROBABILITY BULK COVERAGE

Proof. Let $F(t) = P^*(s(\xi) \leq t)$ and $F_n(t) = \frac{1}{n} \sum_i \mathbf{1}\{s(\xi_i) \leq t\}$. By the DKW inequality, $\Pr(\sup_t |F_n(t) - F(t)| \leq \Delta_{\text{DKW}}(\delta)) \geq 1 - \delta$. Since $\Delta \geq \Delta_{\text{DKW}}(\delta)$, choosing $\hat{t} = \text{Quantile}_{1-\gamma+\Delta}(\{s(\xi_i)\})$ gives $F_n(\hat{t}) \geq 1 - \gamma + \Delta$. Hence, with probability at least $1 - \delta$, $F(\hat{t}) \geq F_n(\hat{t}) - \Delta_{\text{DKW}}(\delta) \geq 1 - \gamma + \Delta - \Delta_{\text{DKW}}(\delta) \geq 1 - \gamma$. $\square$

B EXTENDED EXPERIMENTAL DETAILS AND FULL SWEEPS

B.1 SOFTWARE, HARDWARE, AND COMPUTE

Experiments were implemented in Python 3.11 with PyTorch 2.9.1 (Paszke et al., 2019) and CVXPY 1.7.3 (Diamond & Boyd, 2016); exact conic baselines used MOSEK 11.0 and Clarabel. Runs were executed on AMD EPYC 64-core CPU nodes. Total compute across all replications and ablations was approximately 42 core-hours.

B.2 IN-LOOP EVT-GPD FITTING STABILITY

A natural concern (raised in review) is whether re-fitting the GPD tail index at every optimizer step destabilizes training when loss exceedances $Z_i = [f_x(\xi_i) - u_0]_+$ drift across iterations, especially for non-convex losses. We ran 100 independent optimization trials in an over-budget regime ($r=10.0$) for two decision classes—a separable convex newsvendor loss and a non-convex neural decision $x = x_0 + \text{MLP}_\theta(\cdot)$ —logging late-epoch (epochs [400, 500]) fluctuation of the return-level cap q_{GPD} , gradient-norm chatter, and divergence rates. Table 4 shows the closed-form PWM cap fluctuates by only 0.0031% (convex) and 0.0301% (neural)—far below a 0.5% threshold—with zero divergences over all 200 runs, virtually no gradient chatter, and a $536\times$ per-step speedup over Scipy MLE re-fitting. In-loop EVT guardrails are therefore practical even inside non-convex first-order optimization. Logging the full return-level trajectory at *every* iteration $t \in [1, 200]$ across 100 seeds

Table 4: In-loop EVT-GPD fit diagnostics over 100 runs per decision class (late epochs [400, 500], over-budget $r=10.0$). Lower fluctuation, gradient norm, chatter, and step time are better.

Decision	Method	q_{GPD} fluct. (%)	grad norm (late)	grad chatter	divergence rate	step fit time (ms)
Convex	PWM (Ours)	0.0031	0.0862	0.0014	0 / 100	0.095
Convex	MLE	0.3520	1.1033	0.2842	0 / 100	51.18
Neural	PWM (Ours)	0.0301	0.3148	0.0584	0 / 100	0.107
Neural	MLE	2.5999	7.3846	2.5967	0 / 100	49.67

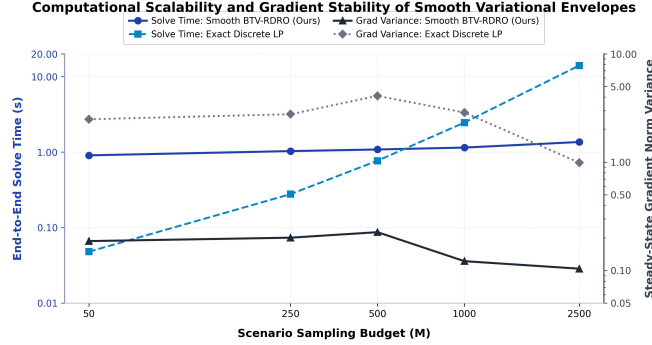


Figure 6: Computational scalability and gradient stability of the smooth envelopes vs. the exact discrete LP across SAA budget M . The smooth objective keeps near-constant solve time and low gradient variance, whereas the exact LP scales super-linearly and exhibits large gradient noise.

Table 5: Paired significance tests between BTV-RDRO and forward-LV over 100 identical seeds at each method’s optimal grid point. Positive improvement indicates lower MSD for BTV-RDRO.

Panel	BTV-RDRO MSD	Forward-LV MSD	Improvement	Win rate	Paired t p -value
spike@0	323.08 ± 66.81	323.19 ± 66.81	0.10 ± 0.42	55 / 100	1.37×10^{-2}
spike@0.1	505.22 ± 55.43	520.01 ± 49.29	14.79 ± 8.47	95 / 100	5.37×10^{-32}
spike@0.2	504.79 ± 34.49	536.55 ± 60.02	31.76 ± 47.89	87 / 100	1.77×10^{-9}
shift@0.2	388.53 ± 54.21	402.75 ± 52.28	14.22 ± 5.69	100 / 100	1.50×10^{-44}

(20,000 steps per class) confirms this at finer resolution: once decisions converge (iterations 150–200), q_{GPD} fluctuates by only 0.0052% (neural) and 0.0538% (convex) in coefficient of variation, the shape parameter stays strictly within the heavy-but-finite band $\xi_x \in [0.112, 0.571]$ (never entering the infinite-mean regime $\xi_x \geq 1$), and we observe 0/20,000 NaNs, infinities, or divergences. The $\sim 15\%$ full-trajectory CV simply reflects the smooth monotone descent of q_{GPD} from its initialization ($\sim 4.9\text{k}$) to the optimal threshold ($\sim 3.1\text{k}$) as x_t converges.

B.3 FULL SIGNIFICANCE, COVERAGE, AND SOLVE-TIME TABLES

Table 5 reports the full paired significance tests against forward-LV summarized in Section 4, Figure 6 visualizes the efficiency/stability trade-off of Ablation 2, and Tables 6 and 7 report the complete numerical values summarized in the main text.

B.4 FULL BUDGET GRID SWEEP

Table 8 reports BTV-RDRO’s OOS MSD across the complete grid $r \in [1.0, 12.0]$ for all four panels.

Table 6: Optimization solve time (s) and steady-state gradient norm across SAA budget M over 100 replications under `spike@0.2`. Lower solve time and gradient norm are better.

Variant / Metric	$M=50$	$M=250$	$M=500$	$M=1000$	$M=2500$
Smooth BTV-RDRO (Ours)					
MSD risk	775.2	713.8	722.9	612.2	649.1
Solve time (s)	0.907	1.033	1.085	1.150	1.363
Grad norm	0.744	0.580	0.613	0.294	0.148
Exact discrete TV LP					
MSD risk	776.1	742.1	740.0	610.7	647.8
Solve time (s)	0.048	0.278	0.770	2.465	14.059
Grad norm	4.790	4.741	4.516	5.464	5.958

Table 7: True bulk-mass coverage $P^*(\Xi_0)$ and failure rate $\Pr(P^*(\Xi_0) < 0.95)$ across n over 200 replications (target $1 - \gamma = 0.95$).

Calibration strategy	$n=200$	$n=500$	$n=1000$	$n=2000$	$n=5000$	$n=10000$
Combined max (Ours)	0.9917	0.9970	0.9916	0.9796	0.9688	0.9633
fail rate	0.000	0.000	0.000	0.000	0.000	0.000
Empirical Bernstein	0.9917	0.9758	0.9637	0.9581	0.9531	0.9517
fail rate	0.000	0.005	0.010	0.070	0.150	0.200
Split-sample DKW	0.9904	0.9958	0.9980	0.9919	0.9770	0.9689
fail rate	0.005	0.000	0.000	0.000	0.000	0.000
Uncalibrated quantile	0.9387	0.9453	0.9480	0.9497	0.9495	0.9497
fail rate	0.730	0.670	0.625	0.470	0.545	0.555

Table 8: Full BTV-RDRO OOS MSD sweep across budget $r \in [1.0, 12.0]$ over 100 replications; mean (SD). Bold marks the per-panel minimum.

Budget r	spike@0	spike@0.1	spike@0.2	shift@0.2
1.0	334.7 (65.9)	662.8 (36.9)	877.3 (16.4)	514.2 (45.3)
2.0	323.1 (66.8)	614.8 (38.7)	804.7 (17.1)	454.4 (48.1)
3.0	332.5 (66.6)	579.4 (41.0)	740.8 (18.2)	412.8 (51.2)
4.0	354.9 (65.7)	552.1 (43.6)	682.6 (19.8)	391.1 (53.7)
4.5	369.3 (65.0)	540.8 (45.2)	655.3 (20.8)	388.5 (54.2)
5.0	384.9 (64.3)	530.8 (46.8)	629.1 (22.1)	391.5 (54.2)
6.0	418.8 (62.8)	515.2 (50.3)	580.7 (25.1)	410.8 (52.9)
7.0	454.8 (61.2)	506.2 (53.9)	539.1 (29.2)	441.4 (51.1)
7.5	473.3 (60.5)	505.2 (55.4)	522.5 (31.4)	458.7 (50.3)
8.0	491.7 (60.0)	507.3 (56.7)	510.4 (33.3)	476.6 (49.7)
8.5	509.5 (59.8)	513.0 (57.6)	504.8 (34.5)	494.2 (49.5)
9.0	526.2 (60.0)	521.9 (58.2)	506.5 (34.9)	510.8 (50.0)
10.0	554.5 (61.7)	545.8 (59.9)	525.4 (37.0)	539.3 (53.2)
12.0	589.8 (72.1)	588.3 (73.7)	569.0 (57.7)	575.0 (66.5)